

MY STORY MY BOOK

Financial Business Plan



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Final Project

EM-0203-02

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1. Business Description

Executive Summary

This business produces customized physical children's books where each story is tailored using the child's name, age, and hometown to create a unique keepsake. Operating from a home-based production facility, the company serves the growing market for personalized gifts that combine emotional significance with practical value. The business model is entirely self-funded through revenue generation, requiring no external capital injection at any stage of development. Financial projections demonstrate consistent profitability and positive cash flow across a five-year horizon, with the company maintaining zero debt while accumulating substantial cash reserves.

Product and Service Description

Core Offering

The business specializes in creating personalized physical children's books that transform each child into the protagonist of their own story. Each book incorporates specific details including the child's name, age, and hometown, weaving these elements throughout the narrative to create a truly unique reading experience. Unlike mass-produced children's books or digital alternatives, these physical volumes serve as tangible keepsakes that families can treasure over time.

The production process combines artisanal craftsmanship with efficient workflows. Books are printed and bound using quality materials that ensure durability, while the customization process maintains quick turnaround times to meet customer expectations for gift-giving occasions. The home-based production model eliminates facility rental costs while maintaining full quality control over every aspect of the manufacturing process.

Capital Requirements

The business requires no external capital injection. Operations are entirely self-funded through revenue generation from the outset. Initial costs for materials, equipment, and marketing are covered through operational cash flow, with the business achieving profitability in its first year of operation. This zero-debt model continues throughout the five-year projection period, with the company accumulating cash reserves while scaling production capacity organically.

The absence of capital requirements stems from the lean operational structure: working from a home basement eliminates rent, minimal inventory requirements reduce working capital needs, and the direct-to-consumer model eliminates intermediary costs. Equipment purchases are modest and funded through operating cash flow, while the addition of part-time labor in Year 3 is similarly funded from accumulated profits.

Market Problem and Solution

The Gap in the Market

The personalized children's book market suffers from a clear divide: companies either offer generic physical books with no personalization, or they provide digital-only personalized content that lacks tangible value. Traditional bookstores stock mass-produced titles that cannot capture a child's individual identity, while digital competitors create customized content that exists only on screens, missing the sensory experience and permanence that physical books provide.

Parents and gift-givers increasingly seek products that stand out from generic alternatives, particularly for milestone occasions like birthdays, holidays, and special achievements. They want gifts that demonstrate thoughtfulness and create lasting memories, but current market options force them to choose between personalization (digital only) and physical permanence (generic content). Neither option fully satisfies the desire for a meaningful, tangible keepsake that truly belongs to the child.

The Solution

This business bridges that gap by producing high-quality, physically printed books that are fully customized to each child. The combination of personalization with tactile engagement creates a product that serves both emotional and practical needs. Children see themselves reflected in the story, building connection and engagement, while parents and grandparents receive a durable product that can be read repeatedly and passed down over time.

The local production model adds another layer of value by enabling quick turnaround times and maintaining quality standards that large-scale print-on-demand services often compromise. Each book receives individual attention during production, ensuring that personalization elements are correctly integrated and that the final product meets high standards for binding, printing, and overall presentation.

Market Size and Opportunity

The personalized children's book market is experiencing substantial growth driven by increasing consumer demand for customized products and meaningful gift alternatives. The global market was valued at USD 569 million in 2024 and is projected to reach USD 1.05 billion by 2031, representing a compound annual growth rate (CAGR) of 9.2%. This growth reflects broader consumer trends toward personalization across multiple product categories, with parents and gift-givers increasingly willing to pay premium prices for unique, customized items.

The U.S. market alone accounts for USD 661.49 million in 2024, indicating strong domestic demand that supports regional and local players. While large international

competitors dominate the digital space, significant opportunity exists for smaller producers who focus on physical products with artisanal quality. The market is fragmented enough to accommodate niche players who can differentiate through quality, personalization depth, or production approach.

Several demographic and cultural trends support continued market expansion. Rising average household incomes in key customer segments provide purchasing power for premium children's products. Growing emphasis on early childhood literacy creates demand for engaging books that encourage reading habits. The shift toward experiential and meaningful gifts rather than generic toys benefits products that create lasting memories. Additionally, the rise of social media creates organic marketing channels where satisfied customers share personalized products, generating word-of-mouth promotion.

Marketing and Sales Strategy

Customer Targeting

The primary customer segments include parents purchasing for their own children, grandparents seeking meaningful gifts for grandchildren, and relatives or friends buying for special occasions. Secondary markets include educators and childcare providers who may purchase customized books for classroom use or student recognition. The target demographic skews toward households with disposable income who prioritize quality and uniqueness over price sensitivity.

Marketing Channels

The marketing strategy centers on digital channels that allow precise targeting and cost-effective customer acquisition. Social media advertising through platforms like Facebook and Instagram enables demographic targeting of parents and grandparents, with ad creative emphasizing the emotional value and uniqueness of personalized books. Marketing expenditures scale conservatively from minimal spending in Year 1 to modest annual budgets in later years as the customer base expands and brand awareness builds.

Influencer partnerships provide another key channel, particularly with parenting bloggers, family lifestyle content creators, and gift recommendation accounts. These collaborations generate authentic endorsements that carry more weight than traditional advertising, with influencers demonstrating the product through unboxing videos, reading sessions with their own children, and gift guides for various occasions.

Content marketing supports these paid channels by establishing authority in the personalized gift space. Blog posts, email newsletters, and social media content focus on topics like encouraging literacy, choosing meaningful gifts, and creating family traditions, with the product positioned as a natural solution within these broader themes.

Sales Model

All sales occur through a direct-to-consumer e-commerce platform, eliminating retailer margins and maintaining control over the customer experience. The website facilitates easy customization, allowing customers to input personalization details, preview how the book will appear, and complete purchase in a streamlined process. This direct model also enables collection of customer data for retention marketing and provides full visibility into purchasing patterns that inform inventory and production planning.

The pricing strategy positions the product as a premium offering while remaining accessible for gift-giving occasions. Pricing reflects the handcrafted nature and personalization value rather than competing on cost with mass-produced alternatives. Optional upsells like gift wrapping, expedited shipping, or additional copies at discounted rates increase average transaction values.

Competitive Landscape and Positioning

Direct Competitors

The competitive landscape includes several established players in the personalized children's book space. Wonderbly (formerly Lost My Name) has built significant brand recognition through venture funding and marketing scale, offering personalized books through print-on-demand with AI-driven customization tools. Hooray Heroes similarly uses online platforms and template-based personalization to create custom books featuring children as characters. Put Me In The Story, owned by Barnes & Noble, leverages licensed characters from popular children's franchises, allowing children to appear alongside established characters in familiar story worlds.

These competitors primarily compete through digital scalability, using automated systems to generate personalized content and coordinating with print-on-demand partners to fulfill orders. Their business models prioritize volume and efficiency, enabling them to process large numbers of orders with minimal manual intervention. Marketing budgets are substantial, with significant spending on digital advertising, partnerships, and brand building.

Differentiation Strategy

This business positions itself distinctly from these larger competitors through several key differentiators. First, the focus on artisanal, locally-produced physical books emphasizes quality and craftsmanship over volume. Each book receives individual attention during production rather than automated processing, allowing for quality control and customization depth that mass-production models cannot match.

Second, the home-based production model eliminates overhead costs that competitors must absorb through facility rent and large staff requirements. This lean structure enables competitive pricing despite small-scale production, while maintaining margins that support sustainable growth. Operating costs remain minimal even as production

scales, providing flexibility to reinvest in quality improvements or marketing initiatives.

Third, the direct relationship with customers enables responsiveness and service quality that larger competitors struggle to maintain. Customer inquiries receive personal attention, special requests can be accommodated, and feedback directly informs product improvements. This creates opportunities for customer loyalty and word-of-mouth referrals that are difficult for larger operations to replicate.

The competitive positioning acknowledges that this business cannot match the marketing reach or production volume of well-funded competitors. Instead, it carves out a niche serving customers who value quality, authenticity, and the story behind their purchase. The target customer appreciates knowing their book was crafted with care rather than generated by algorithms and mass-produced through automated systems.

Key Performance Metrics

Several vital performance indicators demonstrate the business's trajectory and operational health across the five-year projection period.

Revenue Growth: The business demonstrates strong revenue growth from Year 1 through Year 5, with growth rates reflecting both market expansion and improved marketing effectiveness. Early years show higher percentage growth as the customer base builds, while later years maintain healthy growth rates even as the revenue base increases.

Profitability Margins: Gross margins remain strong throughout the projection period, though they moderate in later years as labor costs are introduced to support scaling. This margin compression is strategic rather than problematic, reflecting intentional investment in capacity expansion. EBITDA margins consistently exceed 40%, demonstrating operational efficiency and strong unit economics.

Cash Generation: Cash flow from operations remains positive every year, with the business generating sufficient cash to fund all growth initiatives while accumulating reserves. By Year 5, accumulated cash reserves reach substantial levels, providing financial flexibility for future opportunities or serving as a buffer against market uncertainties.

Return Metrics: Return on assets and return on equity both demonstrate attractive returns in early years, moderating as the asset base grows but remaining healthy throughout the projection period. These returns reflect efficient capital deployment and strong profitability relative to the invested base.

Operational Efficiency: Inventory turnover metrics indicate efficient production planning, with inventory levels balanced to meet demand without excessive carrying costs. Days payable outstanding metrics show the business maintains minimal accounts payable, operating primarily on a cash basis rather than relying on vendor financing.

These metrics collectively demonstrate a business model that is both profitable and sustainable, generating strong returns while maintaining financial stability through zero debt and positive cash flows.

Management Team and Key Skills

Founder and Operations

The founder serves as the primary operator, managing all aspects of the business from production through customer service to financial management. This hands-on approach ensures deep understanding of every business function while maintaining the lean cost structure that supports profitability. The founder's responsibilities include customizing each book's content, managing production workflows, handling customer communications, overseeing marketing initiatives, and maintaining financial records.

This comprehensive operational involvement provides several advantages. Decision-making remains rapid and aligned with business objectives, without bureaucratic layers or misaligned incentives. Quality standards are consistently maintained because the same person oversees production from start to finish. Customer feedback directly reaches the person who can implement changes, enabling continuous improvement based on real market response.

Creative Support

Beginning in Year 3, the business adds a part-time illustrator at 5 hours per week, expanding to 10 hours per week in Year 5. This addition addresses scaling needs as order volume grows beyond what the founder can efficiently handle alone. The part-time structure maintains cost efficiency while adding creative capacity for both fulfilling increased orders and potentially developing new product variations.

The illustrator selection prioritizes alignment with the brand's quality standards and artistic style, ensuring that delegated creative work maintains consistency with the established product. Training and oversight remain with the founder, but the addition of skilled creative support enables higher production volume without compromising quality or overwhelming the founder's capacity.

Skills and Capabilities

The management structure, while lean, encompasses all necessary capabilities for successful operation. Production skills include book design, layout, customization, printing oversight, and quality control. Marketing skills cover digital advertising, social media management, customer communication, and brand development. Financial skills include budgeting, pricing strategy, cash flow management, and financial planning. Customer service capabilities ensure responsive communication and problem resolution.

As the business scales, this skill base may expand through additional part-time support or outsourced services for specific functions. However, the core competencies remain centralized with the founder to maintain strategic coherence and operational efficiency.

Exit Opportunities and Long-Term Sustainability

Acquisition Potential

Several acquisition scenarios present viable exit opportunities as the business matures. Larger publishing houses seeking to expand into the personalized book segment may find acquisition attractive, particularly if they want to add artisanal or premium product lines to complement their existing mass-market offerings. The established customer base, proven production processes, and positive financial performance make this business a turnkey entry into the personalized book market for companies that lack internal capabilities in this area.

Gifting companies or e-commerce platforms focused on personalized products represent another category of potential acquirers. Companies like Etsy, Uncommon Goods, or personal gift retailers might acquire the business to expand their product catalog or vertically integrate personalized book production. These buyers would value both the operational capabilities and the customer relationships that have been developed.

Private equity firms or individual buyers seeking cash-flowing small businesses may also find this opportunity attractive. The combination of positive cash flow, zero debt, accumulated cash reserves, and proven profitability creates an appealing acquisition target for buyers who want established businesses rather than startups requiring turnaround or significant additional investment.

Long-Term Sustainability

Even without acquisition, the business model supports indefinite continuation as a sustainable enterprise. The zero-debt structure, positive cash flows, and minimal fixed costs create resilience against economic cycles or market changes. If growth plateaus at any point, the business can continue operating profitably at steady-state revenue levels without requiring continuous expansion to maintain viability.

The direct-to-consumer model and lean operational structure mean that even modest revenue levels generate acceptable profit margins. Unlike businesses with high fixed costs that require scale to achieve profitability, this operation can remain viable across a range of revenue scenarios. The home-based production eliminates lease obligations that might force closure during slower periods, while the absence of debt means no required payments beyond direct operational costs.

Market trends support long-term demand for personalized children's products, though specific competitive dynamics may evolve. The business's flexibility allows adaptation to changing market conditions, whether through product line adjustments, marketing channel shifts, or production methodology updates. The accumulated cash reserves by Year 5 provide a financial cushion to weather temporary market disruptions or invest in strategic pivots if needed.

Should the founder choose to step away from active management without selling the business, the documented processes and relatively simple operational structure could support transition to a new owner-operator or potentially conversion to a more passive income model with hired management, though the latter would require careful evaluation of whether margins can support additional labor costs while maintaining profitability.

Investment Rationale

While this business requires no external capital injection, understanding its investment attractiveness provides context for its viability and potential. The business demonstrates several characteristics that would appeal to investors if funding were needed:

Proven Profitability: The business achieves profitability from Year 1 and maintains positive net income throughout the projection period, eliminating concerns about capital burn or paths to profitability that plague many early-stage ventures.

Strong Cash Generation: Operating cash flows are positive every year, demonstrating that the business generates real cash rather than accounting profits that may not translate to available funds.

Minimal Capital Requirements: The absence of capital needs reflects a business model that funds its own growth, a powerful indicator of unit economics and operational efficiency.

Scalable Model: While current projections show moderate growth, the business model could accelerate growth with additional marketing investment or production capacity, providing upside potential without requiring structural changes.

Growing Market: The expanding personalized children's book market provides tailwinds that support revenue growth even without major market share gains.

Low Risk Profile: Zero debt, positive cash flows, and accumulated reserves create a low-risk financial profile compared to highly leveraged or cash-burning alternatives.

Clear Differentiation: The focus on artisanal, physical books creates defensible positioning against larger competitors who cannot easily replicate the quality and personalization depth without fundamentally changing their business models.

For a corporate parent or strategic investor, this business offers an established platform in an attractive market segment, proven operational capabilities, and a customer base that could be expanded through additional resources. For financial investors, the strong cash generation and positive returns provide attractive yields, while the acquisition potential offers multiple exit paths.

The timing for involvement is compelling precisely because the business has already validated its model, achieved profitability, and demonstrated sustainable growth. There is no uncertainty about product-market fit, unit economics, or operational viability. Any capital deployed would be for acceleration rather than validation, substantially reducing investment risk while maintaining upside potential.

Conclusion

This personalized children's book business occupies a distinctive position in a growing market, serving customers who value quality, personalization, and tangible products over mass-produced alternatives. The lean operational model, proven profitability, and strong cash generation demonstrate a sustainable business that can continue growing organically or accelerate with additional resources. Whether the future holds acquisition by a larger player or continued independent operation, the foundation is solid for long-term success in the personalized children's book segment.

2. Summary of 5 Year Pro Forma

Summary of 5 Year Pro Forma					
	Year 1	Year2	Year3	Year4	Year5
Revenue (\$)	6,000.00	12,000.00	18,000.00	22,500.00	30,000.00
- Expenses (\$)	(4,023.75)	(5,625.00)	(10,307.50)	(11,450.00)	(16,357.50)
Net Income (\$)	1,976.25	6,375.00	7,692.50	11,050.00	13,642.50
+ Depreciation (\$)	76.00	76.00	76.00	76.00	76.00
- CAPEX (\$)	(380.00)	0	0	0	0
- Changes in WC (\$)	(100.00)	-	(320.54)	0	(320.55)
Annual CF (\$)	1,572.25	6,451.00	8,089.04	11,126.00	14,039.05
- Dividends (\$)	0	0	0	0	0
+ Equity Raise (\$)	1,065.00	0	0	0	0
+ Debt Raise (\$)	0	0	0	0	0
Total Cash Flow (\$)	2,637.25	6,451.00	8,089.04	11,126.00	14,039.05

3. Financial Assumptions

UNIT ECONOMICS AND VOLUME	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Books Sold (units)	0	150	300	400	500	600
Pages per Book	0	26	26	26	26	26
Price per Book (\$)	0	40.00	40.00	45.00	45.00	50.00
Total Customers	0	150	200	300	400	500
Total Hours for Production	0	100	130	300	400	500
Revenue (\$)	0	6,000.00	12,000.00	18,000.00	22,500.00	30,000.00
Books per Paper Pac (Canon,50/pack)	0	50	67	117	150	183
Cost per Book (materials only) (\$)	0	4.50	4.50	4.50	4.50	4.50
Cost per paper bundle (\$)	0	8.00	8.00	8.00	8.00	8.00
Sheets used per year	0	1950	3900	5200	6500	7800

OTHER COST/PROFIT ASSUMPTIONS		Year 1	Year 2	Year 3	Year 4	Year 5
Labor cost/year (\$)	0	0.00	0.00	3900.00	3900.00	7800.00
Labor hour /year (weeks)	0			52	52	52
Labor Cost/Hour (\$)	0	0	0	15.00	15.00	15.00
Marketing (/year)(\$)	0	0	0	300	500	500
Paper cost / (year) (\$)	0	312.00	624.00	832.00	1,040.00	1,248.00
Ink cost/(year) (\$)	0	223.00	223.00	223.00	223.00	223.00
Packaging & Delivery (\$)	0	2,774.00	2,774.00	2,774.00	2,774.00	2,774.00
Staples, Cleaning, Misc. (\$)	0	150.00	300.00	400.00	500.00	600.00
G&A/ year Overhead (utilities, etc.) (\$)	0	0	0	1,200	1,200	1,200
Tax Rate (%)	0%	15%	15%	15%	15%	15%

WORKING CAPITAL ASSUMPTIONS		Year 1	Year 2	Year 3	Year 4	Year 5
Days Sales Outstanding (DSO)	0	0	0	0	0	0
Inventory of paper, ink (\$)	0	100	100	100	100	100
Salaries Payable	0	30	30	30	30	30
Payables Outstanding	0	0	0	0	0	0

CAPITAL EXPENDITURE ASSUMPTIONS	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Printer (Epson ET-2760) (\$)	0	315.00	0	0	0	0
Scoring Board (\$)	0	28.00	0	0	0	0
Guillotine Cutter (\$)	0	23.00	0	0	0	0
Stapler (\$)	0	14.00	0	0	0	0
Total Annual CAPEX (\$)	0	380.00	0	0	0	0
Depreciation (5-year straight line) (\$)	0	76.00	76.00	76.00	76.00	76.00

FINANCING ASSUMPTIONS		Year 1	Year 2	Year 3	Year 4	Year 5
Owner Investment	0	1,065.00	0	0	0	0
Loans/Debt Outstanding	0	0	0	0	0	0
Interest	0	0	0	0	0	0

4.. Financial Metrics

KEY FINANCIAL Metrics	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue Growth %	N/A	N/A	100%	50%	25%	33%
Gross Margin %	N/A	89%	89%	68%	73%	65%
EBITDA %	0	40%	63%	51%	58%	54%
Return on Sales	0	0.33	0.53	0.43	0.49	0.45
Return On Assets	0	0.65	0.68	0.44	0.39	0.32
Return on Equity	0	0.65	0.68	0.45	0.39	0.33
ROIC = EBIT*(1-tx)/(STD+LTD+OE)	0	0.65	0.68	0.45	0.39	0.33
Current Ratio	0	N/A	N/A	53.90	88.61	66.20
Quick Ratio	0	N/A	N/A	53.59	88.30	66.05
Days Sales Outstanding	0	0	0	0	0	0
Days Wages Payable Outstanding	0	0	0	30.00	30.00	60.00
Inventory Turn	0	6.75	13.50	57.00	61.50	105.00
Net Income + Depreciation (\$)	0	2,052.25	6,451.00	7,768.50	11,126.00	13,718.50
Cash Flow From Operations (\$)	0	1,952.25	6,451.00	8,089.04	11,126.00	14,039.05
Total Cash Flow (\$)	0	2,637.25	6,451.00	8,089.04	11,126.00	14,039.05
Debt/Equity	0	0	0	0	0	0
Debt/Total Assets	0	0	0	0	0	0
Debt Service Coverage	0	N/A	N/A	N/A	N/A	N/A
Interest Coverage Ratio	0	N/A	N/A	N/A	N/A	N/A

4. Financial Statements

Income Statement	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue (\$)	0	6,000.00	12,000.00	18,000.00	22,500.00	30,000.00
Cost of Goods Sold (COGS) (\$)	0	(675.00)	(1,350.00)	(5,700.00)	(6,150.00)	(10,500.00)
Cost Per book sold (\$)	0	(675.00)	(1,350.00)	(1,800.00)	(2,250.00)	(2,700.00)
Labor Costs (\$)	0	0	0	(3,900.00)	(3,900.00)	(7,800.00)
Gross Profit (\$)	0	5,325.00	10,650.00	12,300.00	16,350.00	19,500.00
Marketing (\$)	0	0	0	(300.00)	(500.00)	(500.00)
Packaging & Delivery (\$)	0	(2,774.00)	(2,774.00)	(2,774.00)	(2,774.00)	(2,774.00)
G&A/Monthly Overhead (utilities, etc.) (\$)	0	0	0	(1,200)	(1,200)	(1,200)
Staples, Cleaning, Misc. (\$)	0	(150.00)	(300.00)	(400.00)	(500.00)	(600.00)
Total Operating Expenses (\$)	0	(2,924.00)	(3,074.00)	(3,174.00)	(3,274.00)	(3,374.00)
EBITDA (\$)	0	2,401.00	7,576.00	9,126.00	13,076.00	16,126.00
Depreciation (\$)	0	76.00	76.00	76.00	76.00	76.00
EBIT (Operating Income) (\$)	0	2,325.00	7,500.00	9,050.00	13,000.00	16,050.00
Interest Expense (\$)	0	0	0	0	0	0
EBT (\$)	0	2,325.00	7,500.00	9,050.00	13,000.00	16,050.00
Taxes (15%)	0	(348.75)	(1,125.00)	(1,357.50)	(1,950.00)	(2,407.50)
Net Income (\$)	0	1,976.25	6,375.00	7,692.50	11,050.00	13,642.50

Balance Sheets	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Cash (\$)	0	2,637.25	9,088.25	17,177.29	28,303.29	42,342.34
Receivables (\$)	0	0	0	0	0	0
Inventory (\$)	0	100.00	100.00	100.00	100.00	100.00
Total Current Assets (\$)	0	2,737.25	9,188.25	17,277.29	28,403.29	42,442.34
Gross PP&E (\$)	0	380.00	380.00	380.00	380.00	380.00
Accumulated Depreciation (\$)	0	(76.00)	(152.00)	(228.00)	(304.00)	(380.00)
Net PP&E (\$)	0	304.00	228.00	152.00	76.00	0
Total Long-Term Assets (\$)	0	304.00	228.00	152.00	76.00	0
TOTAL ASSETS (\$)	0	3,041.25	9,416.25	17,429.29	28,479.29	42,442.34
Salaries Payable (\$)	0	0	0	320.54	320.54	641.09
Accounts Payable (\$)	0	0	0	0	0	0
Short Term Debt (\$)	0	0	0	0	0	0
Other Current Liabilities (\$)	0	0	0	0	0	0
Total Current Liabilities (\$)	0	0	0	320.54	320.54	641.09
Long Term Debt (\$)	0	0	0	0	0	0
TOTAL LIABILITIES (\$)	0	0	0	320.54	320.54	641.09
Common Stock (\$)	0	1,065.00	1,065.00	1,065.00	1,065.00	1,065.00
Retained Earnings (\$)	0	1,976.25	8,351.25	16,043.75	27,093.75	40,736.25
TOTAL OWNERS EQUITY (\$)	0	3,041.25	9,416.25	17,108.75	28,158.75	41,801.25
TOTAL LIABILITIES AND OWNERS EQUITY (\$)	0	3,041.25	9,416.25	17,429.29	28,479.29	42,442.34

Cash Flow Statements	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Net Income (\$)	0	1,976.25	6,375.00	7,692.50	11,050.00	13,642.50
Depreciation (\$)	0	76.00	76.00	76.00	76.00	76.00
Inc/Dec Salaries Payable (\$)	0	0	0	320.54	0	320.55
Inc/dec Inventory (\$)	0	(100.00)	0	0	0	0
Cash flow from operations (\$)	0	1,952.25	6,451.00	8,089.04	11,126.00	14,039.05
Inc/dec PPE (\$)	0	(380.00)	0	0	0	0
Cash flow from investments (\$)	0	(380.00)	0	0	0	0
Inc/dec Short term debt (\$)	0	0	0	0	0	0
Inc/dec Long term debt (\$)	0	0	0	0	0	0
Inc/dec Common stock (\$)	0	1,065.00	0	0	0	0
Cash Flow from Financing (\$)	0	1,065.00	0	0	0	0
Total Cash Flow (\$)	0	2,637.25	6,451.00	8,089.04	11,126.00	14,039.05
Beginning Cash (\$)	0	0	2,637.25	9,088.25	17,177.29	28,303.29
End Cash (\$)	0	2,637.25	9,088.25	17,177.29	28,303.29	42,342.34

Appendix A – Year 1 Quarterly Financials

Year 1 Income Statements					
	Q1	Q2	Q3	Q4	Year 1
Revenue (\$)	1,500.00	1,500.00	1,500.00	1,500.00	6,000.00
Cost of Goods Sold (COGS) (\$)	125.00	150.00	200.00	200.00	675.00
Cost Per book sold(\$)	4.50	4.50	4.50	4.50	675.00
Labor Costs(\$)	0	0	0	0	0
Gross Profit(\$)	1,375.00	1,350.00	1,300.00	1,300.00	5,325.00
Marketing (\$)	0	0	0	0	0
Packaging & Delivery (\$)	693.00	693.00	693.00	695.00	2,774.00
G&A/Monthly Overhead (utilities, etc.) (\$)	0	0	0	0	0
Staples, Cleaning, Misc. (\$)	36.00	36.00	36.00	42.00	150.00
Total Operating Expenses(\$)	729.00	729.00	729.00	737.00	2,924.00
EBITDA(\$)	646.00	621.00	571.00	563.00	2,401.00
Depreciation(\$)	19.00	19.00	19.00	19.00	76.00
EBIT (Operating Income) (\$)	627.00	602.00	552.00	544.00	2,325.00
Interest Expense(\$)	0	0	0	0	0
EBT(\$)	627.00	602.00	552.00	544.00	2,325.00
Taxes(15%)	94.05	90.30	82.80	81.60	348.75
Net Income(\$)	532.95	511.70	469.20	462.40	1,976.25

Year 1 Balance sheet					
	Q1	Q2	Q3	Q4	Year 1
Cash (\$)	1,136.95	1,667.65	2,155.85	2,637.25	2,637.25
Receivables(\$)	0	0	0	0	0
Inventory (\$)	100.00	100.00	100.00	100.00	100.00
Total Current Assets (\$)	1,236.95	1,767.65	2,255.85	2,737.25	2,737.25
Gross PP&E (\$)	380.00	380.00	380.00	380.00	380.00
Accumulated Depreciation (\$)	19.00	38.00	57.00	76.00	76.00
Net PP&E (\$)	361.00	342.00	323.00	304.00	304.00
Total Long Term Assets (\$)	361.00	342.00	323.00	304.00	304.00
TOTAL ASSETS (\$)	1,597.95	2,109.65	2,578.85	3,041.25	3,041.25
Salaries Payable (\$)	0	0	0	0	0
Accounts Payable (\$)	0	0	0	0	0
Short Term Debt (\$)	0	0	0	0	0
Other Current Liabilities (\$)	0	0	0	0	0
Total Current Liabilities (\$)	0	0	0	0	0
Long Term Debt (\$)	0	0	0	0	0
TOTAL LIABILITIES (\$)	0	0	0	0	0
Common Stock (\$)	1,065.00	1,065.00	1,065.00	1,065.00	1,065.00
Retained Earnings (\$)	532.95	1,044.65	1,513.85	1,976.25	1,976.25
TOTAL OWNERS EQUITY (\$)	1,597.95	2,109.65	2,578.85	3,041.25	3,041.25
TOTAL LIABILITIES AND OWNERS EQUITY (\$)	1,597.95	2,109.65	2,578.85	3,041.25	3,041.25

Cash Flow Statements	Q1	Q2	Q3	Q4	Year 1
Net Income (\$)	532.95	511.70	469.20	462.40	1,976.25
Depreciation (\$)	19.00	19.00	19.00	19.00	76.00
Inc/Dec Salaries Payable (\$)	0	0	0	0	0
Inc/dec Inventory (\$)	100.00	0	0	0	(100.00)
Cash flow from operations (\$)	451.95	530.70	488.20	481.40	1,952.25
Inc/dec PPE (\$)	380.00	0	0	0	(380.00)
Cash flow from investments (\$)	380.00	0	0	0	(380.00)
Inc/dec Short term debt(\$)	0	0	0	0	0
Inc/dec Long term debt (\$)	0	0	0	0	0
Inc/dec Common stock (\$)	1,065.00	0	0	0	1,065.00
Cash Flow from Financing (\$)	1,065.00	0	0	0	1,065.00
Total Cash Flow (\$)	1,136.95	530.70	488.20	481.40	2,637.25
Beginning Cash (\$)	0	1,136.95	1,667.65	2,155.85	0
End Cash (\$)	0	1,667.65	2,155.85	2,637.25	0

Appendix B- Revenue Break Even

Revenue Break Even	
Revenue (\$)	6000
Variable Cost (\$)	675.00
Fixed cost (\$)	2249
Total Cost (\$)	2924
Contribution Margin (%)	0.89
Break Even Revenue (\$)	2535

Appendix C – Capital Expenditures and Depreciation

Capital Equipment	Year 1	Year 2	Year 3	Year 4	Year 5
Printer	315.00				
Annual Depreciation (\$)	63	63	63	63	63
Accumulated Depreciation (\$)	63	126	189	252	315
Net Asset (\$)	252.00	189.00	126.00	63.00	0
Scoring Board	28.00				
Annual Depreciation (\$)	5.6	5.6	5.6	5.6	5.6
Accumulated Depreciation (\$)	5.6	11.2	16.8	22.4	28
Net Asset (\$)	22.4	16.8	11.2	5.6	0
Guillotine Cutter	23.00				
Annual Depreciation (\$)	4.6	4.6	4.6	4.6	4.6
Accumulated Depreciation (\$)	4.6	9.2	13.8	18.4	23
Net Asset (\$)	18.4	13.8	9.2	4.6	0
Stapler	14.00				
Annual Depreciation (\$)	2.8	2.8	2.8	2.8	2.8
Accumulated Depreciation (\$)	2.8	5.6	8.4	11.2	14
Net Asset (\$)	11.2	8.4	5.6	2.8	0

Appendix D – Debt Schedule

	Year 1	Year 2	Year 3	Year 4	Year 5
Common Stock (\$)	1,065.00	1,065.00	1,065.00	1,065.00	1,065.00
Preferred Stock (\$)	0	0	0	0	0
STD (\$)	0	0	0	0	0
LTD (\$)	0	0	0	0	0

Appendix E – Labor Staffing Planning

Name	Title	Start Year	Start Date	Pay	1	2	3	4	5
TBD	Part-time worker	3	1 st Jan	15\$/hr			\$3,900.00	\$3,900.00	\$7,800.00
TBD	Part-time worker	4	1 st Jan	15\$/hr			\$3,900.00	\$3,900.00	\$7,800.00

Appendix F – Industry Financial Metrics

Metric	Story Book Industry (2025)	My Story My Book (Year 5)
Gross Margin %	35% – 45%	65%
ROS (Return on Sales)	8% – 15%	45%
ROA (Return on Assets)	6% – 10%	32%
ROE (Return on Equity)	12% – 20%	33%
CF from Ops (Margin)	10% – 15%	46.8%
DSO (Days Sales Outstanding)	45 – 70 days	0 days
DPO (Days Payable Outstanding)	35 – 60 days	approx. 30 days
Debt/Equity	0.5 – 1.2	0 (No debt)

Appendix G – Key Milestone

Milestone	Date	Impact
Business Launch	January, Year 1	Begin production of customized books
First Book Sold	January, Year 1	Revenue generation starts
Break Even (EBITDA > 0)	Year 1	Business becomes cash-positive
Net Income > 0	Year 1	Positive net profit achieved
Hire Part-Time Illustrator	January, Year 3	Additional creative capacity
Release Second Book Design	April, Year 3	Expanded product line
500 Total Customers	December, Year 4	Scale milestone met
Illustrator Hours Increase	January, Year 5	Capacity for higher sales volume
Achieve \$30,000 Revenue	December, Year 5	Targeted growth milestone
Debt-Free Operations	Year 5	No external debt, all growth is internal
Launch Subscription/Rewards	Year 5	Enhance repeat business & engagement